Week 12

Franchising

MG4011

Instructor: Dr. Saif Maqbool

Reading Book Chapter: 13

Book Name: Entrepreneurship by Bruce R. Barringer & R. Duane Ireland 6e

Learning Objectives – Chapter 15

1. Explain franchising and how this form of business ownership works.
2. Describe steps entrepreneurs can take to establish a franchise system.
3. Become familiar with the advantages and disadvantages of establishing a franchise system.
4. Describe actions and issues associated with a decision to buy a franchise.
5. Explain the steps an entrepreneur goes through to buy a franchise.
6. Identify and explain the various legal aspects associated with the franchise relationship.
7. Discuss two additional issues—franchise ethics and international franchising—that entrepreneurs should think about when considering franchising.

What is Franchising?

Franchising

- Franchising is a form of business organization in which a firm that already has a successful product or service (franchisor) licenses its trademark and method of doing business to another business or individual (franchisee) in exchange for a franchise fee and an ongoing royalty payment.
- Some franchisors are established firms (like McDonald's) while others are first-time enterprises being launched by entrepreneurs (like Uptown Cheapskate).

Two Types of Franchise Systems (1 of 2)

- **Product and Trademark Franchise**
  - An arrangement under which the franchisor grants to the franchisee the right to buy its products and use its trade name.
  - This approach typically connects a single manufacturer with a network of dealers or distributors.
    - For example, Indus Motors Pakistan has established a network of dealers that sell Toyota cars and use the Toyota trademark in their advertising and promotions.

Two Types of Franchise Systems (2 of 2)

- **Business Format Franchise**
  - An arrangement under which the franchisor provides a formula for doing business to the franchisee along with training, advertising, and other forms of assistance.
  - Fast-food restaurants, convenience stores, and motels are well-known examples of business format franchises.
    - Business format franchises are by far the most popular form of franchising, particularly for entrepreneurial firms.

Business Format Franchises

- Automotive
- Business Services
- Commercial and Residential Services
- Food Retailing
- Lodging
- Personal Services
- Quick Serve Restaurants
- Real Estate
- Retail Products & Services
- Table/Full-Service Restaurants

Crispy Crust

Broadway Pizza

One Dollar Two Dollar

Juicito

City Center Sawabi

Butt Karahi

Tayto

Miandad Fabrics

Zee.sy Jewellery

Mazen Schools

VERTEX School System

Cut & Sew By Mohtaram

Taana Baana

Phulkari

Engine Pakistan

Pink & Blue

California Pizza

Fazal Din's Pharma Plus

INFORMATICS Collage of Pharmacy

INFORMATICS College of LAW

INFORMATICS College of Allied Health Sciences

INFORMATICS College of Paramedical Services

The Alliance School

Informatics Grammar School

Yumto

INFORMATICS GROUP OF COLLEGES

Newyorker Pizza

Crunchie's pizza kitchen

Hyatt Pharmacy

Antalya College

Antalya Schools

Rahat Bakers

Apple Pharmacy

Stitch

UNIWORTH

CMA International Hospital

Florenza Mall and Residencia

091 Mall

Unze London

motifz

Club Kitchen

Coral Beauty Emporium

Aspire Colleges

Union Coaching Centre

Progressive Grammar School

Apex Group of Colleges

GREEN PLUS PHARMACIE

Chen One

California Pizza

Total Investment	Franchise Fee	Royalty Fee
16,000,000 /- PKR	**5,000,000 /-PKR**	**7%**

Total Investment required for Small shop is 10 million Total Investment required for Mall outlet 16 million Security Deposit 3 million

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Fazal Din's Pharma Plus

Total Investment	Franchise Fee	Royalty Fee
15,000,000 /- PKR	**2,000,000 /-PKR**	**2%**

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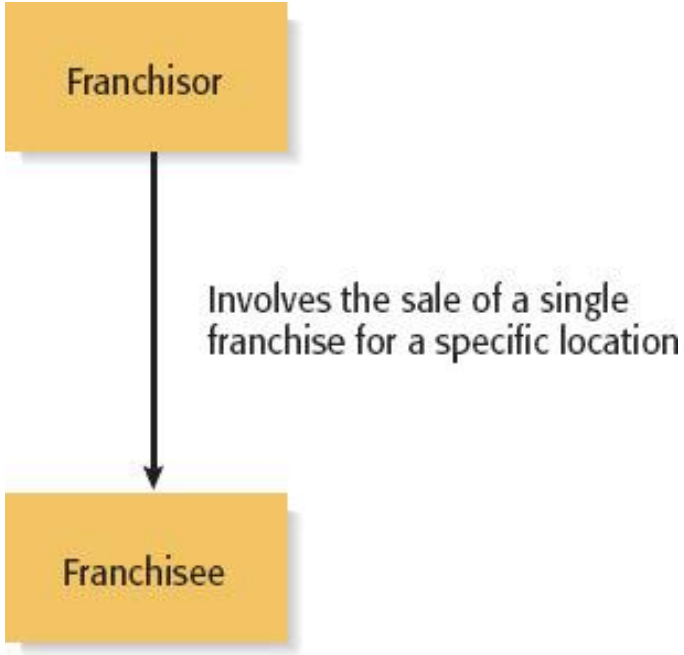
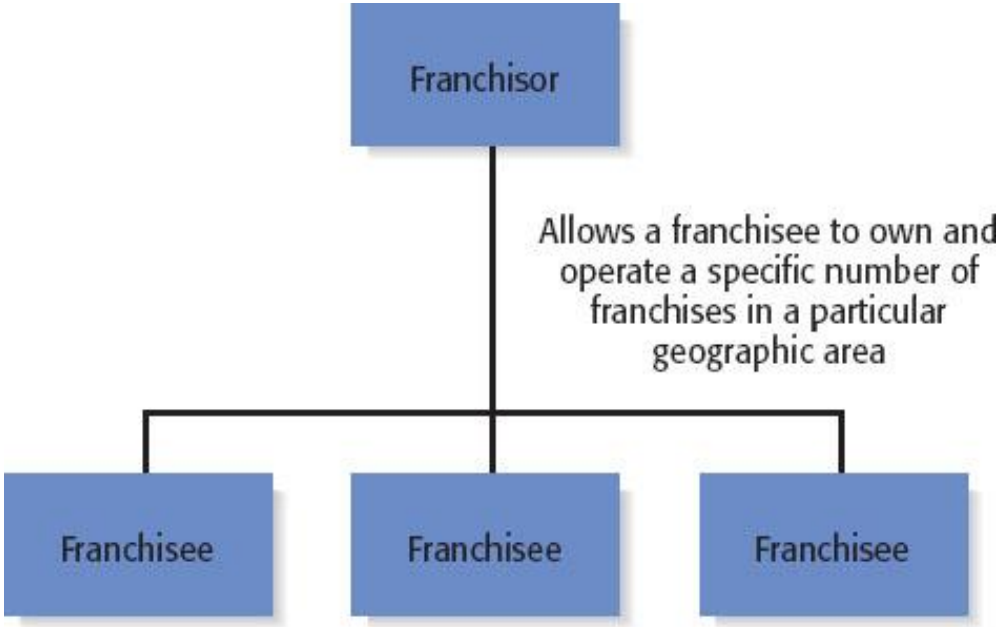
Types of Franchise Agreements (1 of 3)

Individual Franchise Agreement



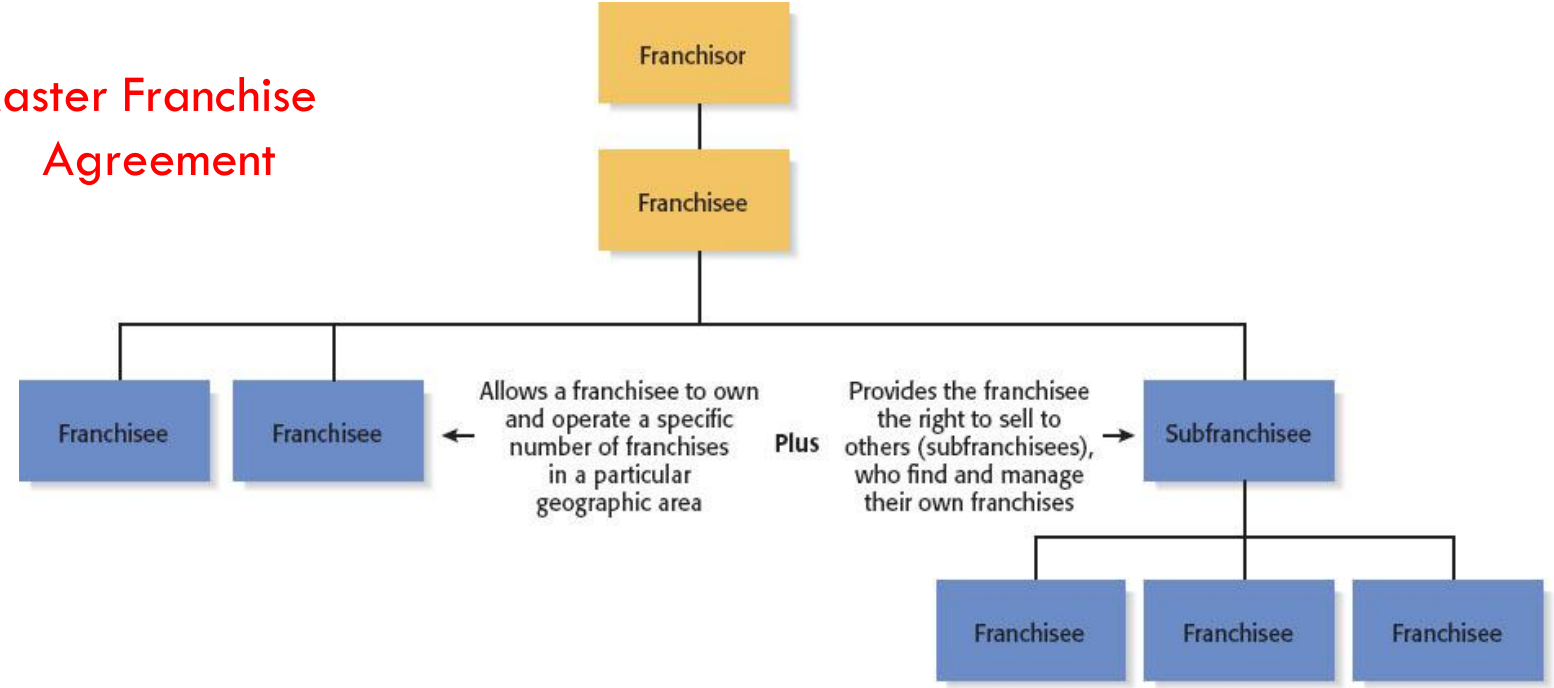
Types of Franchise Agreements (2 of 3)

Area Franchise Agreement



Types of Franchise Agreements (3 of 3)

Master Franchise Agreement



When to Franchise? (1 of 2)

- When Is Franchising Most Appropriate?
  - Franchising is most appropriate when a firm has a strong or potentially strong trademark, a well-designed business method, and a desire to grow.
  - In some instances franchising is not appropriate.
    - For example, franchising works for California Pizza but would not work for Imtiaz Store.
    - Each California Pizza is relatively small and policies and procedures can be written for almost any contingency.
    - In contrast, Imtiaz stores are much larger, more expensive to build, and more complex to run compared to California Pizza. It would be nearly impossible for Imtiaz to find enough franchisees with the financial capital and expertise to open and successfully operate an Imtiaz store.

When to Franchise? (2 of 2)

Nine Steps in Setting Up a Franchise System

Selecting and Developing Effective Franchisees (1 of 2)

Qualities to Look for in Prospective Franchisees

- Good work ethic
- Ability to follow instructions
- Ability to operate with minimal supervision
- Team oriented
- Experience in the industry in which the franchise competes
- Adequate financial resources and good credit history
- Ability to make suggestions without becoming confrontational or upset if the suggestions are not adopted
- Ability to represent the franchisor in a positive manner

Selecting and Developing Effective Franchisees (2 of 2)

Ways Franchisors Can Develop Their Franchisees' Potential

- Provide mentoring that supersedes routine training
- Keep operating manuals up-to-date
- Keep product, services, and business systems up-to-date
- Solicit input from franchisees to reinforce their importance in the larger system
- Encourage franchisees to develop a franchise association
- Maintain the franchise system's integrity

Advantages and Disadvantages of Establishing a Franchise System (1 of 2)

- There are two primary advantages of franchising.
  - First, early in the life of an organization, capital is typically scarce. Franchising helps a venture grow quickly because franchisees provide the majority of the capital.
  - Second, a concept called agency theory argues that for organizations with multiple units, it is more effective for the units to be run by franchisees than by managers who run company-owned stores.
    - The theory is that managers, because they are paid a salary, may not be as committed to the success of their units as franchisees, who are in effect business owners.

Advantages and Disadvantages of Establishing a Franchise System (2 of 2)

Table 15.3 Advantages and Disadvantages of Franchising as a Method of Business Expansion

Advantages	Disadvantages
• Rapid, low-cost market expansion. • Income from franchise fees and royalties. • Franchisee motivation. • Access to ideas and suggestions. • Cost savings. • Increased buying power.	• Profit sharing. • Loss of control. • Friction with franchisees. • Managing growth. • Differences in required business skills. • Legal expenses.

Buying a Franchise (1 of 3)

From the Franchisee's Point of View

- Purchasing a franchise is an important business decision involving a substantial financial commitment.
- Potential franchise owners should strive to be as well informed as possible before purchasing a franchise and should be aware that it is often legally and financially difficult to exit a franchise relationship.
- Franchising may be a particularly good choice for someone who wants to start a business but has no prior business experience.
  - Many franchise systems provide their franchisees with substantial training and support.

Buying a Franchise (2 of 3)

Answering the following questions will help determine if franchising is right for you:

- Are you willing to take orders? Franchisors are typically very particular about how outlets operate.
- Are you willing to be part of a franchise "system" rather than be an independent businessperson?
- How will you react if you make a suggestion to your franchisor and your suggestion is rejected?
- What are you looking for in a business? How hard do you want to work?
- How willing are you to put your money at risk? How will you feel if your business is operating at a net loss but you still have to pay royalties on your gross income?

Buying a Franchise (3 of 3)

Advantages and Disadvantages of Buying a Franchise

Advantages	Disadvantages
• A proven product or service within an established market. • An established trademark or business system. • Franchisor's training, technical expertise, and managerial expertise. • An established marketing network. • Franchisor's ongoing support. • Availability of financing. • Potential for business growth.	• Cost of the franchise. • Restrictions on creativity. • Duration and nature of the commitment. • Risk of fraud, misunderstandings, or lack of franchisor commitment. • Problems of termination or transfer. • Poor performance on the part of other franchisees. • Potential for failure.

The Cost of a Franchise (1 of 4)

- **Initial Franchise Fee**
  - The initial fee varies depending on the franchisor.
- **Capital Requirements**
  - The costs vary but may include the cost of buying real estate, the cost of putting up a building, the purchase of inventory, and the cost of obtaining a business license.
- **Continuing Royalty Payment**
  - Is usually around 5% of monthly gross income.

The Cost of a Franchise (2 of 4)

- **Advertising Fees**
  - Franchisees are often required to pay into a national or regional advertising fund.
- **Other Fees**
  - Other fees may be charged for various activities, including:
    - Training additional staff.
    - Providing management expertise when needed.
    - Providing computer assistance.
    - Providing a host of other items or support services.

The Cost of a Franchise (3 of 4)

Initial Costs to the Franchisee of a Sample of Franchise Organizations

Franchise Organization	Year Started Franchising	Company-Owned Units	Franchised Units	Franchise Fee	Ongoing Royalty Fee	Total Initial Investment
Anytime Fitness	2002	38	3,386	$19,000--$37,500	$449-$549/month	$80,020--$490,100
Budget Blinds	1994	0	1,087	$19,950	Varies	$99,240–$202,070
Edible Arrangements	2001	8	1,245	$30,000	5%	$196,610--$327,810
Hampton Inn Hotels	1984	1	2,148	$75,000	6%	$4.2--$14.9 million
Liberty Tax Service	1973	351	3,753	$40,000	14%	$58,700--$71,900

The Cost of a Franchise (4 of 4)

Initial Costs to the Franchisee of a Sample of Franchise Organizations

ASPIRE
GROUP OF COLLEGES

Aspire Colleges

Total Investment	Franchise Fee	Royalty Fee
20,000,000 /- PKR	**3,000,000 /-PKR**	**10%**

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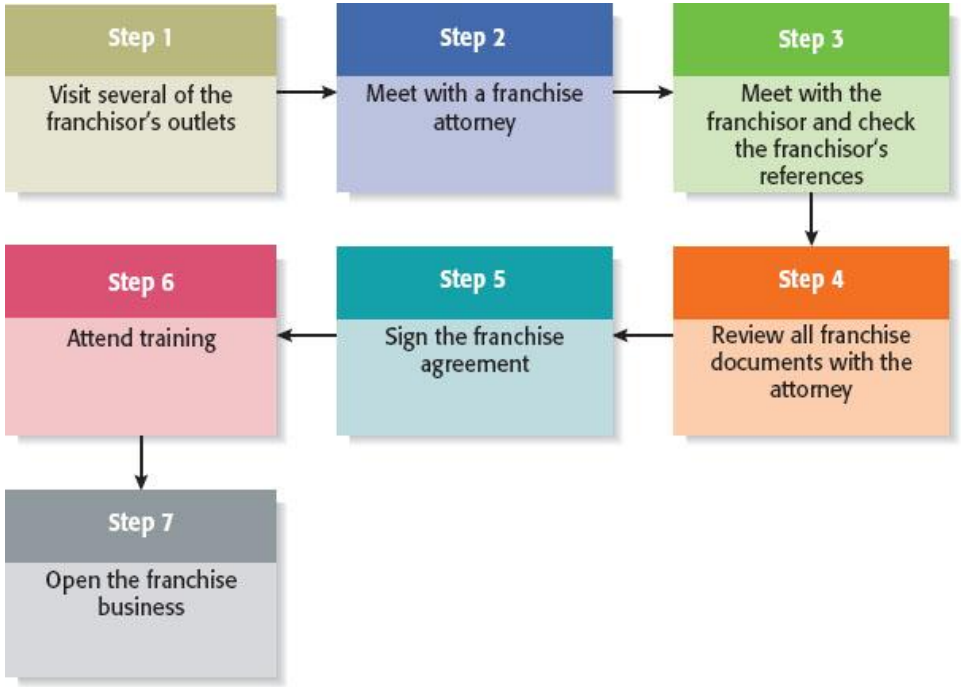
Steps in Purchasing a Franchise

- The first rule of buying a franchise is to avoid making a hasty decision.
- Owning a franchise is typically costly and labor-intensive. As a result, the purchase of a franchise should be a careful, deliberate decision.
- Purchasing a franchise system is a seven-step process, as illustrated in the following slide.



Watch Out! Common Misconceptions about Franchising

- Franchising is a safe investment.
- A strong industry ensures franchise success.
- A franchise is a “proven” business system.
- There is no need to hire a franchise attorney or an accountant.
- The best systems grow rapidly, and it is best to be part of a rapid-growth system.
- I can operate my franchise outlet for less than the franchisor predicts.
- The franchisor is a nice person—he’ll help me out if I need it.

Legal Aspects of the Franchise Relationship

Federal Rules and Regulations

- The offer and sale of a franchise are regulated at the federal level.
  - According to Federal Trade Commission (FTC) rule 436, franchisors must furnish potential franchisees with written disclosures that provide information about the franchisor, the franchised business, and the franchise relationship.
  - In most cases, the disclosures are made through a lengthy document referred to as the Franchisor Disclosure Document (FDD).
  - The FDD contains 23 categories of information that give a prospective franchisee a broad base of information about the background and financial health of the franchisor.

More About Franchising (1 of 2)

Franchise Ethics

- The majority of franchisors and franchisees are highly ethical.
- There are certain features of franchising, however, that make it subject to ethical abuse. These features are as follows:
  - The get-rich-quick mentality.
  - The false assumption that buying a franchise is a guarantee of business success.
  - Conflicts of interest between franchisors and franchisees.

More About Franchising (2 of 2)

International Franchising

- International franchising opportunities are becoming more prevalent for the following reasons:
  1. The markets for certain franchised products in the U.S. have become saturated.
  2. The trend toward globalization continues.
- Steps to take before buying a franchise overseas:
  - Consider the value of the franchisor's name in the foreign country.
  - Work with a knowledgeable lawyer.
  - Determine whether the product or service is saleable in a foreign country.
  - Uncover whether the franchisor has experience in international markets.
  - Find out how much training and support you will receive from the franchisor.